

McDonald's Corporation Financial Performance Analysis (2002–2022)

Introduction

Objective:

This report analyses McDonald's financial performance over a 21-year period (2002–2022) to understand how the company has grown, adapted, and structured its operations and capital. Key areas of focus include trends in revenue and earnings, profitability drivers using DuPont decomposition, financial leverage and risk, and dividend sustainability. These insights are intended to inform strategic financial decisions and highlight strengths and vulnerabilities in McDonald's long-term approach to value creation.

Dataset Description

The dataset includes annual financial data for McDonald's Corporation from 2002 to 2022. Each record consists of original, company-reported financial metrics, which were supplemented by calculated fields to support deeper analysis.

Original Columns

Column	Description
Year	Fiscal year of the record
Market Cap (\$B)	Year-end market valuation
Revenue (\$B)	Total company sales
Earnings (\$B)	Net income attributable to shareholders
P/E Ratio	Price-to-earnings valuation multiple
P/S Ratio	Price-to-sales valuation multiple
P/B Ratio	Price-to-book valuation multiple

Operating Margin (%)	Operating profit as a percentage of revenue (<i>provided directly in the dataset</i>)
EPS (\$)	Earnings per share (stock split-adjusted)
Shares Outstanding (\$B)	Number of diluted shares (in billions)
Cash on Hand (\$B)	Cash and equivalents at year-end
Dividend Yield (%)	Annual dividend divided by stock price
Dividend (\$)	Dividend paid per share (adjusted)
Net Assets (\$B)	Shareholders' equity (Assets – Liabilities)
Total Assets (\$B)	Company's total asset base
Total Debt (\$B)	Total interest-bearing debt
Total Liabilities (\$B)	All liabilities, including debt

Data Cleaning & Preparation

Import and Validation

The dataset was imported using Power Query. No missing values were detected. All values were standardized — revenue, earnings, market cap, and other dollar-based metrics were formatted in billions of USD; all ratios and percentage fields were treated accordingly.

Chart Scaling

For cleaner visual presentation:

- Metrics based on Net Assets — including ROE, Debt-to-Equity, and Equity Multiplier — were only charted up to 2015, after which equity turned negative.
- Other metrics (e.g., ROA, Operating Margin, Payout Ratio) were charted over the full 2002–2022 period.

Calculated Metrics

To support visual and analytical exploration, the following financial ratios and decomposition variables were calculated:

Metric	Formula
Debt-to-Equity Ratio	Total Debt ÷ Net Assets
Debt-to-Asset Ratio	Total Debt ÷ Total Assets
Return on Equity (ROE)	Earnings ÷ Net Assets
Return on Assets (ROA)	Earnings ÷ Total Assets
Equity Multiplier (EM)	Total Assets ÷ Net Assets
Asset Turnover	Revenue ÷ Total Assets
Pay-out Ratio (%)	Dividend per Share ÷ EPS

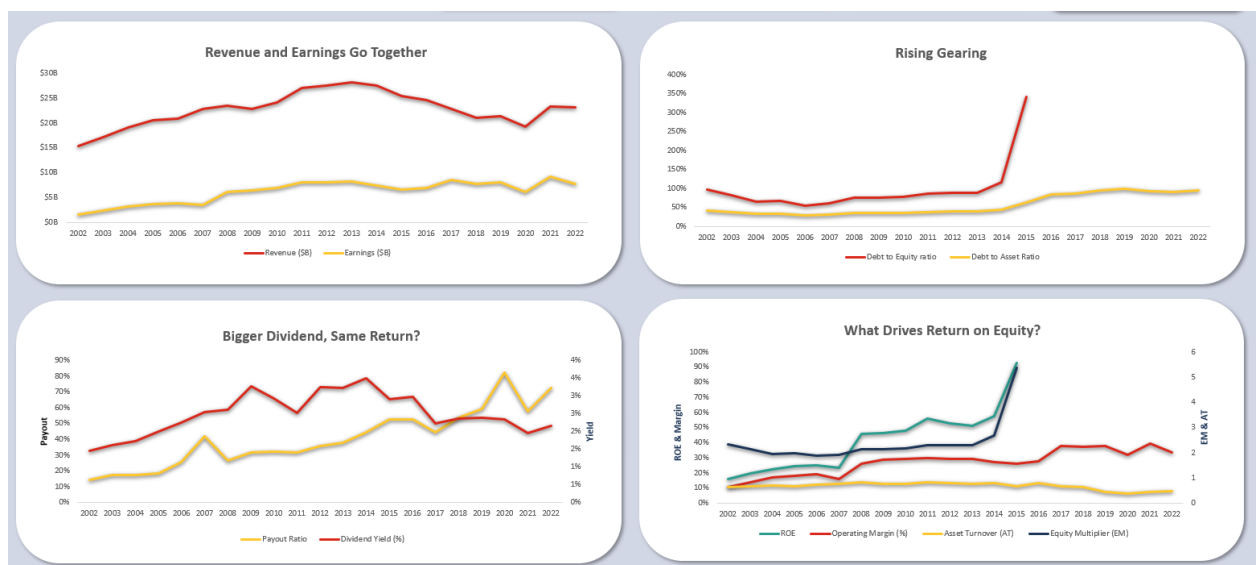
Dashboard Logic:

VBA was used to ensure only one year can be selected at a time using the slicer, helping all KPI cards and summary boxes on the dashboard remain consistent and avoid misalignment.

Analysis and Findings

- Revenue and Earnings Trends:** McDonald's revenue rose from \$15.4B in 2002 to a peak of \$28.1B in 2013, before gradually declining to \$23.2B in 2022. Earnings grew more rapidly, rising from \$1.66B in 2002 to around \$8B by 2015, showing improved profitability. After 2015, earnings remained relatively stable while revenue fluctuated, indicating efficiency gains and margin stability.
- Profitability (DuPont Analysis):** ROE growth before 2014 was primarily due to increases in operating margin and stable asset turnover. After 2014, the equity multiplier rose significantly, inflating ROE due to increasing leverage — even while margins and turnover stayed flat. By 2015, Net Assets became negative, turning ROE negative, even though the company remained profitable.

3. **Financial Leverage and Risk:** McDonald's dramatically increased debt after 2014 to fund share buybacks and dividends, resulting in negative equity. Consequently, the debt-to-equity ratio became negative, while debt-to-asset ratio rose and plateaued. This strategy boosted shareholder returns but raised financial risk due to heavier reliance on debt financing.
4. **Dividend Policy and Sustainability:** The pay-out ratio climbed steadily from about 15% in 2002 to over 70% by 2022. Dividends often increased even during earnings dips, highlighting a strong commitment to shareholders. However, despite rising dividend amounts, the dividend yield stayed relatively flat (around 2–3%) due to share price growth, meaning investors received larger dividend checks but also paid more for the stock.
5. **Return on Assets (ROA):** ROA rose when earnings increased or total assets decreased, and fell when asset growth outpaced earnings. This pattern suggests strategic control over asset size and refranchising efforts to improve asset efficiency.
6. **Operating Margin Performance:** Operating margin improved consistently over the two decades, with only occasional dips. This steady rise reflects strong cost control and operational efficiency, supporting stable earnings even amid flat or declining revenue in some years.



Conclusion

McDonald's evolution from 2002 to 2022 reflects a shift from revenue growth to operational optimization and capital restructuring. The company strengthened margins and maintained earnings growth, but its aggressive use of leverage post-2014 — including heavy share repurchases — transformed its capital structure. This benefited shareholders in the short term but introduced higher financial risk.

Recommendations

1. **Carefully Manage Financial Leverage:** Maintain close oversight of debt levels, especially with negative equity, to preserve long-term solvency and flexibility.
2. **Sustain Dividend Strategy Responsibly:** Continue delivering shareholder returns while ensuring pay-out ratios remain aligned with earnings capacity and cash flow health.
3. **Preserve Operational Efficiency:** Keep improving margins and asset utilization to maintain stable profitability despite slower revenue growth.
4. **Mitigate Risk from Debt Exposure:** Develop contingency plans to address potential interest rate increases or cash flow disruptions resulting from higher leverage.
5. **Balance Shareholder Returns with Long-Term Investment:** While buybacks and dividends support stock value, long-term growth may require increased reinvestment in innovation and new markets.

Data Source

The dataset used for this analysis was sourced from Kaggle:
<https://www.kaggle.com/datasets/mikhail1681/mcdonalds-financial-statements-2002-2022/data>